WAL★MART®



CATALINA MARKETING®

CATALINA MARKETING®

Overview

- **Catalina Accelerates individual relationships with your customer----They get values and message just for them (nothing else does it as well).**

- **Wal-Mart gets benefit of customer relationship---**

  Bigger Baskets, Higher sales crossing categories, Better new item launches, Increased category sales, stronger loyalty.

Other Internal Benefits:

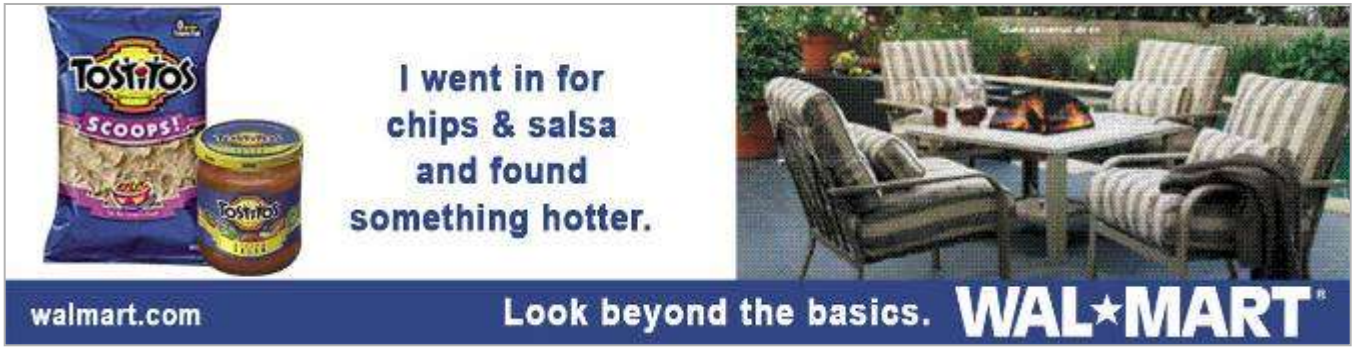
Customer Insights that are actionable toward results on which you are evaluated.

CATALINA MARKETING®

Deliver your advertising message directly into the hands of exactly the right customer

Home Décor Style Seeker

- Affinity items based on predictive modeling



High Income Households that are Electronic Buffs

- Affinity items based on predictive modeling



CATALINA MARKETING

Get your message to the right people!
Show Wal-Mart's commitment to the environment



Environmentalists

- Geography
- Store Trait



CATALINA MARKETING

How We Get it Done

- Sixth largest database in the world.
- Real and actual transactions from over 33,500 stores—not sample data.

- Real-Time decisions for message made by items in basket and identification by tender type ,and parameters / criteria you set.

- Appropriate and tailored message delivered at captive moment that evokes emotional bond.

Tender type provides tracking mechanism for purchase behavior and intuitive insight into opportunities

Tender Type	$ Volume Tracked	Avg. Basket	Opportunity Index
	23%	$57	Monthly $ Spent / High Developed Same Type
	44%	$58	Model baskets to identify to similar tracked shoppers
	2%	$43	% of Monthly Benefit / Index vs. Dev.
	31%	$27	Model baskets to identify to similar tracked shoppers

CATALINA MARKETING

Target new customers to transfer prescriptions to the Wal-Mart pharmacy

Wal-Mart Shopper who does not use Pharmacy

- Tender Type Comparison





CATALINA MARKETING

Leverage World Cup excitement to strengthen Hispanic households' bond with Wal-Mart

Hispanic Households

- Store trait cluster
- Affinity items outside of cluster
- International







CATALINA MARKETING

Build anticipation pre-launch and ensure immediate awareness as product hits shelves

Appearance Conscious

- Grooming and affinity items



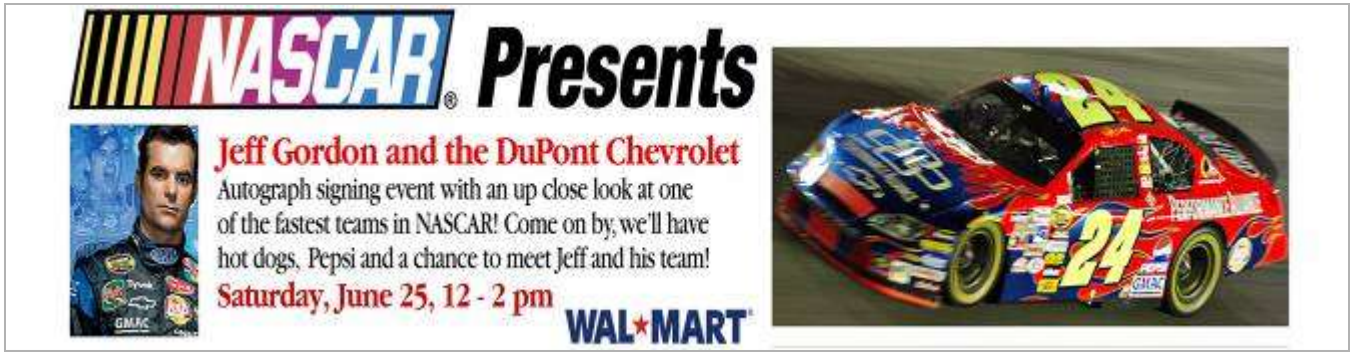


CATALINA MARKETING

Create lasting relationships by announcing community connection events

NASCAR Fans

- NASCAR Items & Geography



FLW Fans

- Fishing Items & Store Trait



CATALINA MARKETING

Performance Results and Examples

- **New Item Launch and Trials** **+100% Trial units**
- **Increase basket size** **+70% average ticket for top customers**
- **Cross Category purchases** **+20% new department buyers**
- **"Heavy-up" in a category** **+300% in $ category growth**
- **Increased Awareness** **+8 percentage points**

- ***over average in Pre-period.**

CATALINA MARKETING

Execute Pilot test

Catalina Provides:

Color Pilot: September 2006 – February 2007

- **50 Store Test in 1 region: 20 Division 1, 20 SC, 10 Neighborhood Market**
- **Content aligned with merchandising and marketing objectives**
  - Wal-Mart communications
  - Supplier team funded communications
  - Catalina syndicated offers

- **Infrastructure**
  - 1 color printer per POS terminal
  - Wiring
  - Installation
  - Paper and ink
  - Cashier training
  - Reporting
  - Analytical support & Interface
  - Equipment maintenance

Capture the information

Most comprehensive yet granular data

-UPC level database
-Store level, time-based
-Historic data is census not sample or panel
-Full basket information collected including tender type
• Append additional data including store traits and weather history

Timely and Accessible

- Purchase data updated every 24 hours
- Reporting available 72 hours after close of each week
- Data warehouse fields 150k decision support queries daily

Experience and Knowledge

-22 years of experience
-250mm transactions monitored weekly
-xxx retail partners globally
  -Grocery
  -Drug
  -Mass
  -Supercenter
  -C-store
  -Do It Yourself

Create Results

Precise Information

•Automated and ad hoc customized suite of reports built to your definitions with real time "click" drill down to detail.
•Built at the upc, geography or trait level
•Ability to segment and gain customer-level insights without an additional shopper card

Support

Marketing and analytics support to develop turnkey customized reports and conduct ad hoc queries for each Wal-Mart Business Unit or enterprise-wide (global or market)

Tools (custom "department/ category and geography")

•Customer segmentation
•Share of Wallet
•Customer loyalty to Wal-Mart
•Affinity Items
•Tab analysis
•Multiples Incidence
•Volumetric trends analysis
•Predictive modeling
•Regression analysis
•Product carried
•Promotion responder analysis
•Test vs Control Measurement

Communicate the message

Revolutionary Communication Medium

•High speed, color graphical messages at checkout

•Delivered only to qualified customers
•Reach 100% of target audience
•80% readership
•Incentives result in 7 times higher response rate than mass; same expectations for tab activity

Precisely targeted

•Aligns business objective with each customer's individual purchase behavior
•Real time delivery of exactly the right message
• Customized to the customer, geography, trait, weather or other attribute

Trial:
•Deliver new product news to category or affinity items customers
•Communicate only most relevant cross-department items

Basket size:
•Usage ideas for heavy users
•Next most likely item
•Cross category / department (trial)

Trips
•Store of the community events
•Daypart / Weekpart

Retention
•Lapsing customers surveys and communications

CATALINA MARKETING

Benefits

- Drive measurable results aligned with business objectives
- Data secure and never shared
- Leading edge of consumer privacy
- Potential to secure incremental manufacturer dollars with Catalina sales force

Catalina Marketing Corporation: Actionable Consumer Understanding

CAPTURE

Consumer Purchase Behavior

- Transactional
- Historical

35,900+ Stores

300MM+ Trans/Week

100MM+ Shopper ID

CREATE

Design Solutions Based Insight

- Build Equity
- Drive Volume
- Increase Trips
- Increase Order Sizes
- Educate and Inform

COMMUNICATE





Over 5 Billion Annually

Confidential© 2005 Catalina Marketing Corporation.
Reproduce by permission only.

CATALINA MARKETING

Catalina Marketing Network® combines accessible & flexible data management with customer connectivity

- Monitors purchases via point-of-sale systems
- Linked to printers at each check out lane



Product UPCs and consumer IDs are scanned at check out

Data sent to server



Server qualifies data based upon custom program criteria

Data sent to printer



Printer communicates with customer



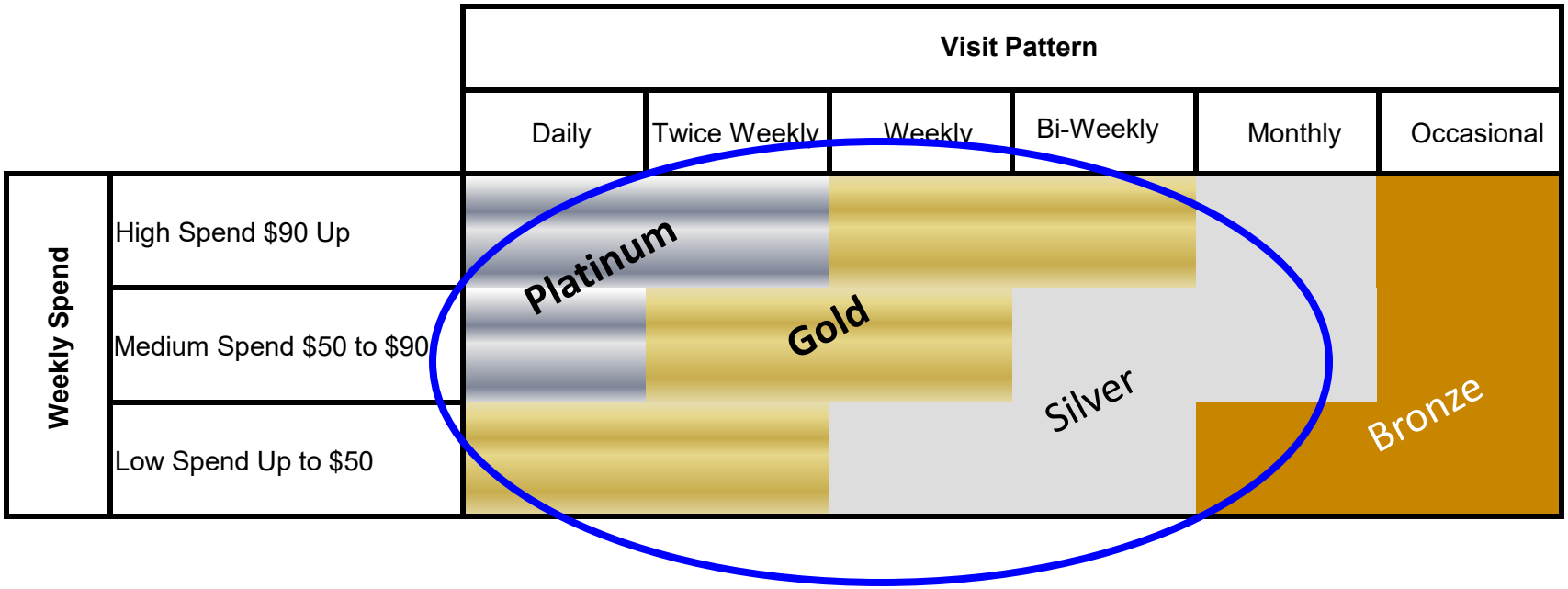


Confidential© 2005 Catalina Marketing Corporation.
Reproduce by permission only.

CATALINA MARKETING

Segment marketing principal #1:
Segment to find shopper groups that drive sales

Shopping Habit Segments



Messages “on the spot” that urge
them to buy more based on what we know about them

CATALINA MARKETING

Campaign against Purina ONE loyal buyers reinforced positioning as pet nutrition experts

1



2



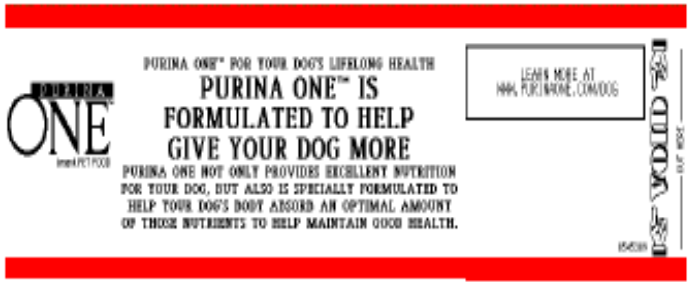
3



4



5



6



CATALINA MARKETING

Future executions will deliver the same message with more powerful imagery

1



2



3



4



5



6



CATALINA MARKETING

Communication at checkout impacts brand equity

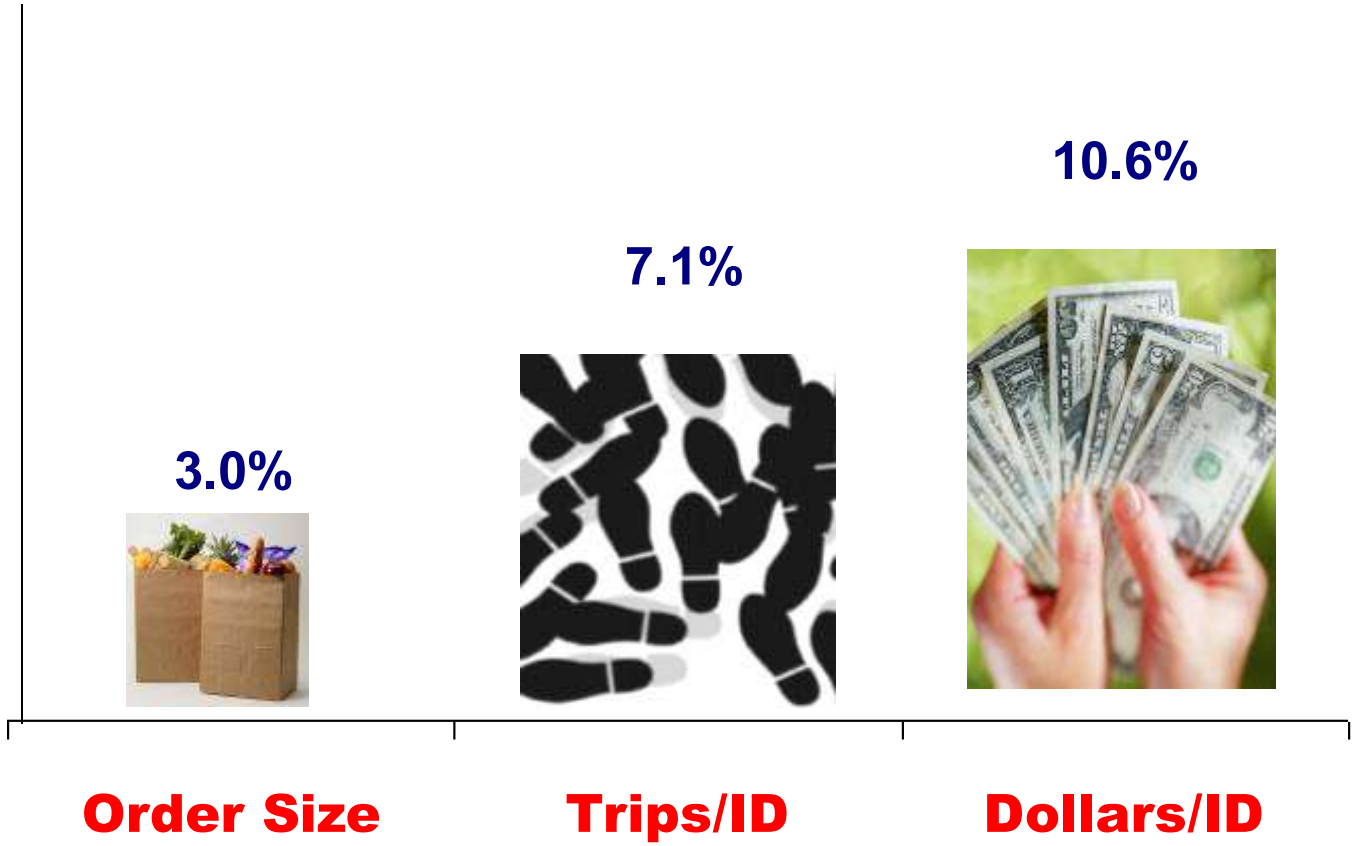
- POS Communications are a valid media option for Wal-Mart
  - 130 million opportunities per week to communicate
  - Shoppers leave the store with a positive last impression
  - Uncluttered environment to deliver message
  - Relevance based on knowledge of shopper

Buy more save more was created because of the purchase understanding of frozen food shoppers



CATALINA MARKETING

Reward prints drive incremental trips and order size



*All measures expressed as per ID, Per week
**Summary of “Non-Participant vs Participant” ID’s for CCM programs to date *SOURCE: Cannondale Associates*

CATALINA MARKETING

Data mining allows marketers to focus their investments against most likely new customers

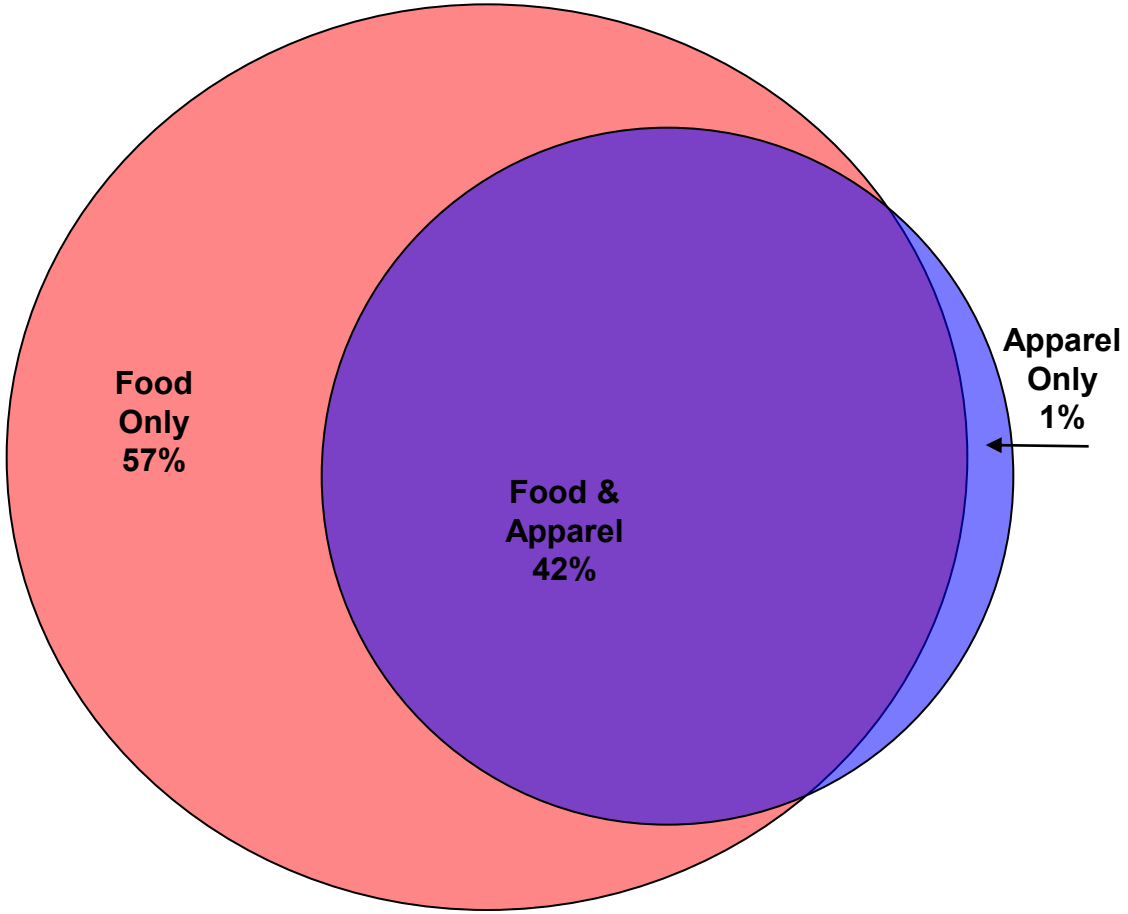


"When consumers first try Coffee Mate or International Delight, they tend to remain loyal to that product. If we could only predict which households cream their coffee with milk we can attract them, but almost all households buy milk."

- Brad Alford, CEO, Nestlé USA

CATALINA MARKETING

Reliable accessible data uncovers marketing opportunities



% Household Purchasing

Source: Catalina database; 8 weeks

CATALINA MARKETING

Build trust with selective users while continuously identifying shopping need gaps





CATALINA MARKETING

Connect on-line and in-store behavior to reveal purchase insights and marketing



CATALINA MARKETING